Robinhood Markets, Inc.

HOOD NASDAQ

Buy	$95.94 ▲ 3.34%	12M Price Target	52-Week Range	Market Cap
		$115.00	$63.52 – $150.47	$86.26B

HOOD: Bouncing After Pullback, Crypto Rules Still the Wild Card

WHAT HAPPENED

- HOOD bounced +3.3% to $95.94 after a nasty 4-day slide from $102 down to $93. No real news driving it — this looks like a technical bounce on lighter volume (10.8M vs the 15M+ we've been seeing on the way down), meaning the sellers are getting tired and bargain hunters are stepping in.
- Options flow is screaming bullish — a put/call ratio of 0.46 (way more call buying than put buying) plus unusual call buying at the $96 and $97 strikes tells me traders are betting on a rebound into earnings, which land next week.

WHY IT MATTERS

This pullback feels more like profit-taking than a thesis break — the stock had run hard and sits at just 37% of its 52-week range, so there's room to recover without being "expensive" relative to recent highs. The real story is that HOOD has become a leveraged bet on two things: retail trading mania and crypto regulation. With the Trump administration's crypto-friendly posture and the GENIUS Act (stablecoin framework) now law, HOOD's crypto business — a huge chunk of transaction revenue — has structural tailwinds that didn't exist 18 months ago. The near-term risk is simple: earnings next week need to show that trading volumes held up in October, or this $96 level breaks and we revisit the mid-$80s fast.

POLICY & POLITICAL WATCH

The big one is the CLARITY Act (crypto market structure bill) working through the Senate — it would hand most crypto oversight to the CFTC instead of the SEC, which is far friendlier to platforms like HOOD. If it passes, HOOD can list more tokens with less legal risk, directly boosting their crypto revenue (~35% of transaction revenue last quarter). Also watch the SEC's ongoing review of payment-for-order-flow (PFOF) — that's how HOOD makes money on stock trades, and any restriction there would be a direct body blow to the business model. Right now the regulatory environment is the friendliest it's been for HOOD since IPO.

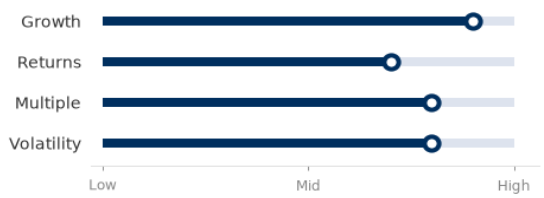
IS IT EXPENSIVE?

At $96 with an $86B market cap, you're paying roughly 18x forward revenue and about 49x forward earnings — that's expensive for a broker (Schwab trades around 18x earnings) but cheaper than pure crypto plays like Coinbase. Translation: investors are paying up because they see HOOD as a hybrid growth story, not a boring brokerage. The multiple is justified only if transaction revenue keeps growing 30%+ — if trading activity slows, this stock gets rerated hard.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$95.94**
12M Price Target	**$115.00**
Upside / (Downside)	**+19.9%**
Market Cap	**$86.26B**
FY2026E Revenue	**$4,850M**
FY2027E Revenue	**$6,100M**
FY2026E EPS	**$1.95**
FY2027E EPS	**$2.60**
Fwd P/E	**49.2x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

HOOD — Robinhood Markets, Inc. | October 27, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$108.00**	$98.00	**$85.00**
6 Months	**$130.00**	$110.00	**$75.00**
1 Year	**$160.00**	$115.00	**$70.00**
2 Years	**$220.00**	$150.00	**$60.00**
5 Years	**$350.00**	$220.00	**$50.00**
10 Years	**$600.00**	$350.00	**$40.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.6% today, +2.1% on the week) is leading as rate-cut hopes and AI capex continue to drive sentiment. Financials-adjacent fintech names benefit from the same risk-on tone.

COOLING OFF: Communication Services is down nearly 6% on the week — a lot of that is ad-revenue worry and megacap digestion, which signals investors are rotating out of crowded names into more cyclical growth.

ROTATION WATCH: Money is moving from mega-cap tech into higher-beta growth plays like fintech and crypto-adjacent names — HOOD is a direct beneficiary of that rotation, which explains today's bounce despite no news.

RELATED PLAY: If HOOD runs on crypto tailwinds, the pure-play exchanges (COIN) and crypto infrastructure (MSTR, HOOD's wallet partners) all move in sympathy. Coinbase is the cleaner read-through if you believe in the CLARITY Act thesis.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Benefiting from the same crypto regulatory tailwinds plus institutional custody wins
- SCHW (Charles Schwab): Winning on asset gathering and net interest income as rates stay higher-for-longer

HOOD CONTEXT: HOOD has been lagging the broader fintech bounce this past week — down ~6% while tech is up 2%. That underperformance usually sets up either a catch-up rally (if earnings deliver) or a continuation lower (if earnings disappoint). Options flow suggests traders are betting on the catch-up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the structural story but earnings next week make this a "wait and see" rather than "pound the table" moment.

POSITION SIZE: 2-4% of portfolio — the upside is real but this stock can move 10% in a day on sentiment, so don't oversize.

ENTRY POINTS: I'd add in the $88-92 zone if we get a pullback, or wait for the earnings reaction — a sell-the-news dip would be a gift.

TIME HORIZON: 12-24 months — the catalyst I'm waiting for is CLARITY Act passage plus two more quarters of 30%+ transaction revenue growth to justify the multiple.

WHEN TO BAIL: If earnings miss revenue by more than 5%, if PFOF regulations get serious momentum, or if the stock breaks $82 (recent support) on heavy volume.

HEDGING: Simplest hedge is buying cheap put options into earnings — think of it as insurance that pays off if the stock crashes but costs you a small premium if it doesn't. Alternatively, pair the long HOOD with a short on a weaker broker to isolate the "HOOD specifically wins" bet.

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